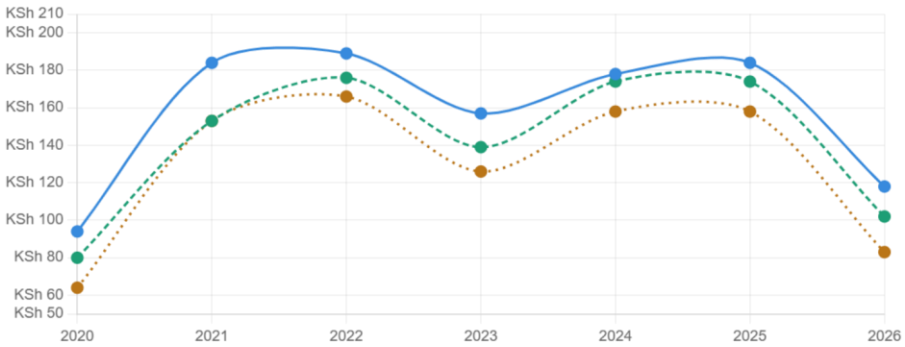
Oil & Petrolium Products In Kenya '20 – '26 Average

Avg. PMS (petrol)
KSh 155.13/L
2020–2026 mean, Nairobi

Avg. AGO (diesel)
KSh 141/L
2020–2026 mean, Nairobi

Avg. IK (kerosene)
KSh 126.22/L
2020–2026 mean, Nairobi



SUBSIDY POLICY ERAS & THEIR PRICE IMPACT

2020
Market pricing / COVID dip
PMS: ~94 KSh
AGO: ~80 KSh
IK: ~64 KSh

Lowest prices of the period — depressed global oil demand.

2021–2022
Kenyatta subsidy era
PMS: 184–189 KSh
AGO: 153–176 KSh
IK: 153–166 KSh

Gov't subsidy softened price spikes from post-COVID recovery & Ukraine war.

2023
Subsidy removal & PDL fund
PMS: ~157 KSh
AGO: ~139 KSh
IK: ~126 KSh

Ruto admin removed subsidies; PDL fund introduced, easing the transition slightly.

2024
No subsidy / Legal Notice 70
PMS: ~178 KSh
AGO: ~174 KSh
IK: ~158 KSh

Prices rose again. Legal Notice 70 adjusted levies at 8% rate.

2025
No subsidy (continued)
PMS: ~184 KSh
AGO: ~174 KSh
IK: ~158 KSh

Prices held near 2024 levels. No new relief mechanism introduced.

2026
Sharp drop (YTD)
PMS: ~118 KSh
AGO: ~102 KSh
IK: ~83 KSh

Significant fall — likely reflecting global oil price softening in early 2026.

KEY INSIGHTS

📈 PMS (petrol) has consistently been the most expensive fuel type across all years, averaging KSh 155.13/L over the period — around KSh 14 more per litre than diesel on average.

📉 2020 was the cheapest year on record, with petrol as low as KSh 94/L — driven by the COVID-19 global oil demand crash. By contrast, 2022 saw the highest prices (PMS ~189 KSh) due to the post-pandemic recovery and Russia-Ukraine war supply shock.

🏛 The Kenyatta-era subsidy (2021–2022) masked the true price surge for consumers. When the Ruto administration removed subsidies in 2023, prices dropped from peak levels but have since climbed back toward those highs by 2024–2025.

🔥 Kerosene (IK) has always been cheapest — important for low-income households and small businesses. Its average of KSh 126.22/L represents a meaningful gap from petrol, making it a critical energy access indicator.

⚡ Early 2026 data shows a dramatic price drop — PMS to ~118 KSh, diesel to ~102 KSh — suggesting a potential normalisation or a global crude oil price decline that Kenya consumers are beginning to benefit from.

📊 The spread between petrol and diesel narrowed significantly in 2024–2025 (just ~4 KSh gap) compared to earlier years, suggesting diesel supply and demand dynamics have converged with petrol pricing post-subsidy removal.

PMS — Petrol AGO — Diesel IK — Kerosene

What the report covers: Kenya's retail fuel prices in Nairobi from 2020 to 2026 (YTD), tracking three fuel types — PMS (Super Petrol), AGO (Automotive Diesel), and IK (Illuminating Kerosene) — measured in KShs per litre. It also maps prices against the government subsidy policy era each year falls under.

The big story in five points:

1. **COVID crash → war spike → subsidy removal → partial stabilisation.** Prices hit rock bottom in 2020 (~KSh 64–94/L) due to collapsed global demand, then surged sharply in 2021–2022 on the back of post-pandemic demand recovery and the Russia-Ukraine war disrupting global oil supply.
2. **The Kenyatta subsidy (2021–2022) shielded consumers but was unsustainable.** The government absorbed the difference between regulated and market prices, artificially capping pump prices. When the Ruto administration removed subsidies in 2023 and transitioned to a Petroleum Development Levy (PDL) fund model, prices fell from peak levels — not because oil got cheaper, but because the 2022 peak was war-driven.
3. **2024–2025 saw prices creep back to near-peak levels** (~KSh 174–184/L for petrol and diesel) with no subsidy cushion, meaning consumers bore the full cost. Legal Notice 70 introduced an 8% levy adjustment but did not significantly reduce prices.
4. **2026 shows the sharpest single-year drop in the dataset** — petrol down to ~118 KSh, diesel to ~102 KSh — likely reflecting a softening in global crude oil prices. This is a partial data year so the full-year average may differ.
5. **Kerosene (IK) is the most affordable fuel** and tracks slightly below diesel throughout the period, averaging KSh 126.22/L. This matters significantly for low-income and rural households who rely on it for cooking and lighting.